

Oracle

Sold roughly a decade of future cloud capacity to the AI labs — now it has to build it, and fund it · www.oracle.com

1977

Founded

~162,000

Employees

\$67.4B

FY2026 revenue

\$638B

RPO backlog

-\$23.7B

Free cash flow

01 Overview

Remaining performance obligations reached \$638B at FY2026 close, up more than 6.5 times from \$98B two years earlier — signed, non-cancellable contracts giving Oracle more than a decade of visibility in its infrastructure business, against \$67.4B of actual...

Offering: Oracle Database, Fusion Cloud ERP and HCM applications, NetSuite, industry software including Cerner health records, and Oracle Cloud Infrastructure — now the growth engine and the reason for the capital programme.

Key facts

HQ: Austin, Texas

Ownership: Public (NYSE: ORCL); founder Larry Ellison holds roughly 40.6% beneficial ownership

Revenue: \$67.4B in FY2026 (year ended 31 May 2026) with GAAP net income of \$17.1B and GAAP EPS of \$5.83. Q4 revenue grew 21% to \$19.2B, with OCI up 93% to \$5.8B

Web: www.oracle.com · [LinkedIn](#)

Key people: Clay Magouyrk (Co-Chief Executive Officer) · Mike Sicilia (Co-Chief Executive Officer) · Larry Ellison (Chairman & Chief Technology Officer) · Safra Catz (Executive Vice Chair of the Board)

Digital twin: No · **GenAI:** Yes (OCI AI infrastructure)

02 Use Cases & Reported Metrics

Sector	Deployment	Reported impact	Source
AI cloud infrastructure	Oracle Cloud Infrastructure sold to AI labs and hyperscale customers, with most of the recent backlog coming from contracts where customers either prepaid for GPUs or bought and...	OCI revenue up 93% to \$5.8B in Q4 FY2026; \$67B of AI infrastructure contracts signed in the quarter alone	Link
Contracted backlog	Remaining performance obligations tracked as the central metric, built through successive multi-billion-dollar contracts including the OpenAI and Stargate commitment cluster and...	RPO grew from \$138B at FY2025 close to \$455B (Q1), \$523B (Q2), \$553B (Q3) and \$638B (Q4 FY2026)	Link
Capital programme	Capital expenditure to build the capacity behind the backlog, with fixed-price contracts where component costs are known and pass-through mechanisms where supply-chain or future...	\$55.7B capex in FY2026 against \$32B of operating cash flow — negative free cash flow of \$23.7B;	Link

03 Competitive Landscape

Other vendors in this market: Adobe · Salesforce · SAP · ServiceNow · Workday

Where it sits: The RPO figure is the single most striking number anywhere in this app, and it cuts both ways. Oracle has effectively pre-sold roughly ten years of OCI capacity to the most capital-rich AI companies in the world, which makes the revenue ramp close to contracted if it can build and energise the capacity on schedule.

04 GIP & BlackRock Connections

GIP became a wholly-owned BlackRock subsidiary in October 2024 and now operates as BlackRock's dedicated infrastructure-investment arm. Stakes below are standard institutional/index-fund positions unless otherwise noted.

Entity	Possible connection
Global Infrastructure Partners	No publicly disclosed GIP relationship. Oracle's ERP and database footprint makes it likely present at PortCo level for corporate systems.
BlackRock	No publicly disclosed operating relationship; standard index holdings of ORCL only.

05 Sentiment

Customer: Customer behaviour is the strongest evidence available and it is unusually concrete: buyers are prepaying for GPUs or supplying hardware themselves to secure OCI capacity. That is committed demand, not pipeline.

What supports the story

- \$638B of signed, non-cancellable RPO gives more than a decade of infrastructure revenue visibility — unmatched in enterprise technology
- OCI grew 93% in Q4 FY2026, with customers prepaying or supplying their own hardware to secure capacity
- The co-CEO who built OCI now runs the company, and the new CFO comes from an electrification and automation background

What to pressure-test

- Negative free cash flow of \$23.7B in FY2026, with ~\$70B of net capex and ~\$40B of new debt and equity planned for FY2027
- Revenue recognition depends entirely on building and energising capacity on schedule — an execution risk, not a demand risk
- Extreme customer concentration: the backlog is dominated by a handful of AI labs whose own funding is not assured

Employee: Not covered in this pass beyond the FY2026 10-K headcount of approximately 162,000. No reliable employer-review data was gathered.

Sources: Oracle public filings/website, company fact sheets, Wikipedia, PitchBook/Crunchbase/Datanyze/BuiltIn profiles, Glassdoor employer reviews, vendor case studies and press releases as of Sept. 2026. Figures marked "est." or "not disclosed" are third-party estimates or unavailable — not company-confirmed — validate in diligence. Part of the Physical AI / Industrial AI for Critical Infrastructure market landscape.